Memorandum of Understanding

Strategic Alliance Between BP and Petrobras

Date: 12 April 2018

Parties Involved:

- **BP p.l.c.** (hereinafter referred to as "BP")
- **Petróleo Brasileiro S.A.** (hereinafter referred to as "Petrobras")

Preamble

This Memorandum of Understanding ("MOU") outlines the framework for a strategic alliance between BP and Petrobras to explore joint projects and potential commercial agreements in areas of mutual interest. The alliance aims to leverage the strengths and expertise of both companies to create value through collaboration in upstream, downstream, trading, and low carbon initiatives, both within Brazil and internationally.

Objectives

The primary objectives of this strategic alliance are:

- To explore and develop joint commercial agreements in upstream, downstream, trading, and low carbon initiatives.
- To facilitate the transfer of technology between the parties.
- To engage in joint training and research programs.
- To enhance the competitive position of both companies in the global energy market.

Areas of Cooperation

Upstream Activities:

- Exploration and production of oil and gas.
- Participation in bidding rounds and joint ventures for exploration blocks.
- Enhanced cooperation in existing partnerships, such as the 16 exploration blocks in Brazil.
- **Quantitative Metrics:** Aim to increase joint exploration activities by 20% within the first two years of the alliance. Target a minimum of \$500 million in combined investment in upstream projects annually.

Downstream Activities:

- Refining and marketing of petroleum products.
- Development and operation of retail networks.
- Collaboration on lubricants and other downstream products.
- **Quantitative Metrics:** Target a 15% increase in joint refining capacity within three years. Aim for a minimum of \$300 million in annual revenue from joint downstream ventures.

Trading Activities:

- Joint trading of crude oil, refined products, and other energy commodities.
- Optimization of supply chains and logistics.
- **Quantitative Metrics:** Aim for a 25% increase in trading volume within the first year. Target a minimum of \$1 billion in annual trading revenue from joint activities.

Low Carbon Initiatives:

- Development and deployment of renewable energy projects.
- Investment in biofuels and other low carbon technologies.
- Participation in carbon capture and storage projects.
- **Quantitative Metrics:** Target a minimum of \$200 million in annual investment in low carbon projects. Aim for a 10% reduction in carbon footprint within five years through joint initiatives.

Technology Transfer

Both parties agree to:

- Share technological advancements and best practices.
- Collaborate on research and development projects.
- Provide access to proprietary technologies where mutually beneficial.
- **Quantitative Metrics:** Establish at least three joint R&D projects within the first year. Aim for a minimum of 10 technology transfer sessions annually.

Joint Training and Research

Both parties commit to:

- Establishing joint training programs for employees.
- Collaborating on research initiatives in areas such as enhanced oil recovery, renewable energy, and energy efficiency.

- Facilitating knowledge exchange through workshops, seminars, and conferences.
- **Quantitative Metrics:** Conduct at least six joint training sessions annually. Publish at least two joint research papers per year.

Governance

Steering Committee:

A Steering Committee comprising senior executives from both BP and Petrobras will be established to oversee the alliance. The Steering Committee will meet quarterly to review progress, resolve issues, and approve new initiatives.

Working Groups:

Specific working groups will be formed for each area of cooperation (upstream, downstream, trading, and low carbon). These groups will report to the Steering Committee and be responsible for the detailed implementation of projects.

Quantitative Metrics: Each working group will submit a quarterly progress report to the Steering Committee.

Confidentiality

Both parties agree to maintain the confidentiality of all information exchanged under this MOU, except where disclosure is required by law or regulatory authority. Any breach of confidentiality will result in a penalty fee of \$100,000 per incident.

Term and Termination

Term:

This MOU is effective as of the date first written above and will remain in effect for an initial period of three (3) years, subject to renewal by mutual agreement.

Termination:

Either party may terminate this MOU with ninety (90) days' written notice to the other party. Termination of this MOU shall not affect any rights or obligations that have accrued prior to the effective date of termination. Early termination by either party without just cause will result in a penalty fee of \$500,000.

Miscellaneous

- **No Partnership:** This MOU does not create a partnership, joint venture, or agency relationship between the parties.

- **Governing Law:** This MOU shall be governed by and construed in accordance with the laws of the State of Rio de Janeiro, Brazil.
- **Amendments:** Any amendments to this MOU must be made in writing and signed by authorized representatives of both parties. Amendments will be subject to a review period of thirty (30) days and require the approval of the Steering Committee.
- **Force Majeure:** Neither party shall be liable for any failure to perform its obligations under this MOU if such failure arises from events beyond its reasonable control, including but not limited to acts of God, war, civil unrest, and natural disasters.

Signatures

For and on behalf of BP p.l.c.:

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Name: Bob Dudley

Title: Chief Executive Officer

Date:

For and on behalf of Petróleo Brasileiro S.A.:

_____

Name: Pedro Parente

Title: President

Date:

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